NITI Aayog (National Institution for Transforming India)



NITI Aayog

- NITI Aayog replaced 65 years old planning commission. Planning commission has power to allocate funds to ministries and states, this function will be now at finance ministry.
- NITI Aayog was formed on January 1st, 2015.

Socio-Economic Development

Socio-economic development is the process of social and economic development in a society. Socio-economic development is measured with indicators, such as GDP, life expectancy, literacy and levels of employment.

The new "Think Tank" is NITI Aayog can form a suitable platform in integrating the social sector initiatives of the Centre, state and the local bodies.

INDICATORS OF SOCIO-ECONOMIC DEVELOPMENT

Gross Domestic Product (GDP)

GDP supports in developing socio - Economic Development. The proportion of GDP by the industrial sector both private and public sector has been increased. It results increasing government funds and increase public spending.

Life Expectancy

According to 2011 Census of India, Life expectancy in India is 65.80 years for men and 68.33 years for women. Government provides high degree of health measures through various programmes. The Government announced in the Union Budget 2018-19 the "National Health Production Scheme" (NHPS) to serve poor and vulnerable families.

Literacy

Educational skill plays a vital role in the Socio Economic Development. Sarva Siksha Abhiyan(SSA) is government of India's flagship programme. It is implemented for making free and Compulsory Education to the children of 6-14 years with life skills. The Government also introduced RMSA, Smart class, e-learning, free computer skill classes and eco-friendly studying environment, Digital India for increasing the level of quality in education.

Employment

There is a clear shift in employment to secondary and tertiary sector from the primary sector. A growing number of people moved urban areas in search of employment. It increased urban population, hence government started the 'Smart city' Scheme which provides the city with many facilities like hospitals, schools, housing facilities and shopping centers. To promote rural and backward areas in terms of employment the government encourages private sectors to start an industry in backward areas by providing tax benefit electricity at a lower tariff, etc., It removes regional inequality.

Provision of House, Clean Drinking Water and Sanitation

Government sector provides housing facilities, clean drinking water facilities and sanitary facilities under clean India Planning. Providing clean water and sanitary facilities overcome diseases and malnutrition. By providing these facilities the Life Cycle of the people increases.

Importance of Public sector

Public sector plays a major role in the development of any economy. It has following importance:-

1. **Public Sector and Capital Formation:** The role of public sector in collecting saving and investing them during the planning period has been very important.

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